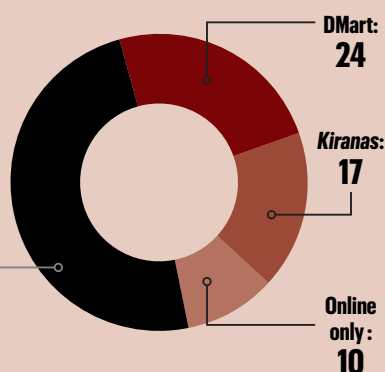


PREFERRED DESTINATION

A recent online survey shows high mind share for Reliance Retail amongst Indian shoppers

The survey respondents prefer Reliance Fresh and Reliance Smart stores over even *kiranas*

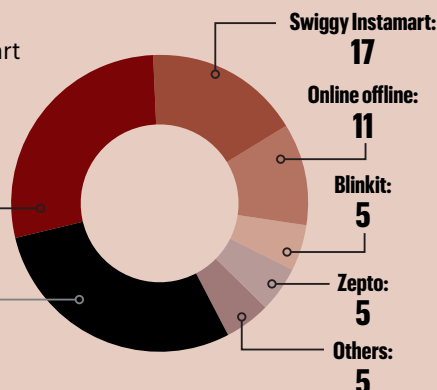
Reliance Fresh/
Smart:
49



In online grocery, JioMart has a slight edge over bigbasket

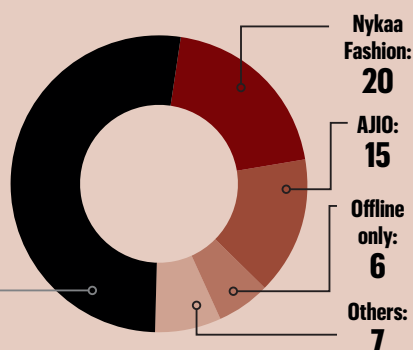
bigbasket:
28

JioMart:
29



In fashion & apparel, Reliance's AJIO is the third-most preferred platform...

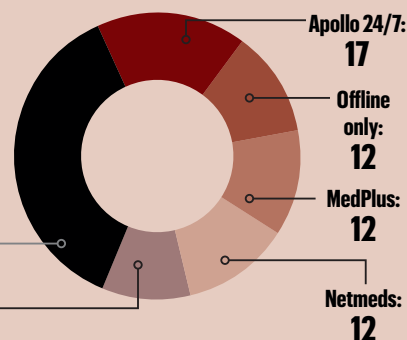
Myntra:
52



...likewise for Reliance's Netmeds in the e-pharmacy segment

PharmEasy: 37

1mg: 10



SOURCE BOFA GLOBAL RESEARCH'S ONLINE SURVEY OF 1,000 RESPONDENTS; ALL FIGURES IN PER CENT

delivery retail business—only to sell it off six years later. Since then, many FMCG players such as Nestlé, ITC and HUL, too, have sought to develop a D2C business that avoids the traditional distribution route. Apart from cutting down costs by reducing the margins outgo, directly serving the customers or the local retailer also means greater access to first-hand consumer data, which is crucial in developing products that customers want.

V.L. Rajesh, an ITC veteran—who till 2016 used to head the FMCG giant's foods business as chief executive—says the primary reason why FMCG majors are largely dependent on the network of distributors and wholesalers is their market knowledge. The local distributors, apart from maintaining

long-standing business relationships and goodwill with the retailers, bring enormous knowledge of local consumption patterns, which is crucial for the sustained growth of any manufacturer. Additionally, these locally run businesses provide market credits to the millions of small and medium retailers, who mostly purchase branded goods on credit. "If a corporation wishes to do business directly with the retailers, it has to subsume all these costs and offer each of these facilities to them. In return, it gets greater control over sales. The PoS machines at the retail counters offer greater access to consumer data and buying patterns. But to succeed with such a model, efficiency would be the key," Rajesh explains.

It is in this space—of provid-

ing market credit to its retail customers—that RIL has chalked out a plan to service them through Jio Financial Services (JFS), says Choksey. Incorporated in November 2016—months after the launch of its telecom service Reliance Jio—the NBFC provides financial services primarily through digital channels. Operated through a smartphone or a JioPhone, its services can be availed even on 2G networks, helping the company overcome the connectivity barrier that merchants in many remote markets face. Reliance has also roped in K.V. Kamath—a stalwart of the modern Indian banking system—to lead JFS as its Chairman.

With its vast network of retail stores and over 400 million customers using Reliance Jio's telecom